

24AVCV00130 24AVCV00130

County: los-angeles

Division: Civil Law and Motion

Department: A14

Hearing date: 2026-08-04

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Case Number: 24AVCV00130 Hearing Date: August 4, 2026 Dept: A14

SUPERIOR COURT OF THE STATE OF CALIFORNIA

COUNTY OF LOS ANGELES – NORTH DISTRICT

RICARDO ESQUER,¿

Plaintiff,

v.

HONG HOLDINGS LLC dba CONICO WHOLESALE, LLC, a California limited liability company; MIKE GOLDBERG, an individual; JOHN YU, an individual; LARRY GRAND, an individual; and DOES 1 through 50,¿

Defendants.

Case Number 24AVCV00130

[TENTATIVE]

ORDER ON DEMURRER

Date of Hearing: August 4, 2026

Dept. A-14

Judge William H. Forman

I. Background

This is an employment action arising from Plaintiff Ricardo Esquer's (Plaintiff) termination. Defendants demurred to, and move to strike portions of, Plaintiff's third amended complaint.

On February 1, 2024, Plaintiff filed a complaint against Defendants Hong Holdings, LLC, dba Conico Wholesale, LLC (Hong), Mike Goldberg (Goldberg), John Yu (Yu), and Larry Grand (Grand) (collectively Defendants), asserting 10 causes of action.

On February 07, 2024, prior to service of the complaint, Plaintiff filed his First Amended Complaint (FAC) asserting 11 causes of action against Defendants.

On July 22, 2025, the Court granted Plaintiff leave to file a Second Amended Complaint (SAC).

On August 20, 2025, Plaintiff filed his SAC, asserting 12 causes of action against Defendants for: (1) Retaliation in Violation of FEHA; (2) Age Discrimination in Violation of FEHA; (3) Failure to Prevent Harassment, Discrimination, and Retaliation in Violation of FEHA; (4) Whistleblower Retaliation (Cal. Lab. Code § 1102.5); (5) Whistleblower Retaliation (Cal. Lab. Code § 6310); (6) Wrongful Termination in Violation of Public Policy; (7) Intentional Infliction of Emotional Distress (IIED); (8) Waiting Time Penalty; (9) Failure to Provide Accurate, Itemized Pay Statements; (10) Failure to Provide Rest and Meal Breaks; (11) Intentional Interference with Prospective Economic Advantage; and (12) Negligent Hiring, Supervision, or Retention of Employees.

On January 28, 2026, the Court sustained in part Defendants' demurrer to the SAC and granted in part Defendants' motion to strike portions of the SAC. The Court sustained the demurrer as to the ninth and eleventh causes of action with leave to amend, sustained as to the tenth cause of action without leave to amend, and overruled the demurrer as to causes of action five, seven, eight, and twelve. Defendants' motion to strike was granted in part, with leave to amend.

On February 27, 2026, Plaintiff filed the operative Third Amended Complaint (TAC), asserting 11 causes of action for: (1) Retaliation in Violation of FEHA; (2) Age Discrimination in Violation of FEHA; (3) Failure to Prevent Harassment, Discrimination, and Retaliation in Violation of FEHA; (4) Whistleblower Retaliation (Cal. Lab. Code § 1102.5); (5) Whistleblower Retaliation (Cal. Lab. Code § 6310); (6) Wrongful Termination in Violation of Public Policy; (7) Intentional Infliction of Emotional Distress (IIED); (8) Waiting Time Penalty; (9) Failure to Provide Accurate, Itemized Pay Statements; (10) Intentional Interference with Prospective Economic Advantage; and (11) Negligent Hiring, Supervision, or Retention of Employees.

Specifically, Plaintiff's TAC alleges as follows:

On or around March 01, 2018, Plaintiff was hired by Hong as a driver at an approximate rate of \$23 per hour. (TAC, ¶ 15.) Plaintiff's job duties included the loading and unloading of trucks and driving shipments of gasoline, and Plaintiff states he was an exemplary employee, earning him several raises. (TAC, ¶¶ 16-17.) In 2022, a younger Hong employee began harassing Plaintiff due to his age. (TAC, ¶ 18.) Plaintiff reported the harassment to Grand, Plaintiff's direct manager, Goldberg, the manager of transportation, and Yu, a human resources (HR) employee in September of 2022. (TAC, ¶ 19.) Goldberg shrugged off the complaint but stated that it would be investigated. (TAC, ¶ 19.) Around the time of Plaintiff's complaint, his managers also began asking Plaintiff and other employees to engage in dangerous and illegal business practices, such as loading a cracked trailer which was leaking gas. (TAC, ¶ 20.) Plaintiff complained that such activity was dangerous and illegal and reported the activity to Danny Baillargon (Baillargon), Goldberg's supervisor. (TAC, ¶ 20.)

In October of 2022, Defendants allegedly retaliated against Plaintiff for his harassment and whistleblowing complaints by changing Plaintiff's schedule, requiring him to work every holiday, and changing Plaintiff's trailers. (TAC, ¶ 21.) Defendants failed to prevent or remedy the harassment of Plaintiff faced and forced him to continue working with his harasser, who continued to impede Plaintiff's work. (TAC, ¶ 22.) Plaintiff contacted Grant and reported the retaliation in October of 2022 and raised that he was forced to work with his harasser. (TAC, ¶ 23.)

Plaintiff again complained of the illegal practices on the trucks in January of 2023. (TAC, ¶ 25.) On January 23, 2023, Yu informed Plaintiff that he was being terminated because he was “not a good fit” despite his track record of excellent performance. (TAC, ¶ 25.) Plaintiff alleges that this termination constitutes wrongful termination due to his refusal to engage in illegal activities, his complaints of illegal activities, his age, and his complaints of age-related harassment. (TAC, ¶ 26.) Plaintiff further asserts that he did not receive all of his wages at the end of his employment, received wage statements during employment that did not contain pertinent information, was unable to take all of his regular meals and breaks during his employment, and all Defendants interfered with Plaintiff’s prospective employment by spreading false and/or misleading information regarding Plaintiff to a prospective employer with the intent to blacklist Plaintiff in the industry. (TAC, ¶¶ 27-30.)

On April 14, 2026, Defendants collectively filed the present demurrer to the TAC and motion to strike portions of the TAC.

On July 22, 2026, Plaintiff filed his oppositions to both motions.

On July 28, 2026, Yu and Grand filed a reply in support of the motion to strike, and Defendants collectively filed a reply in support of the demurrer.

II. Preliminary Procedural Issues

Meet and Confer Requirement – Before filing a demurrer or motion to strike, the demurring or moving party is required to meet and confer at least five days before the date the responsive pleading is due, in person, by telephone, or by video conference, with the party who filed the pleading for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer or motion to strike. (Code Civ. Proc., §§ 430.41, subd. (a), 435.5, subd. (a).) The demurring or moving party shall file and serve with the demurrer or motion to strike a declaration stating the means by which the parties met and conferred and that the parties did not reach an agreement to resolve the issues raised, or that the party who filed the pleading demurred or objected to failed to respond or otherwise failed to meet and confer in good faith. (Ibid.)

Here, Defense counsel Jessica Wan declares she sent a meet and confer letter to Plaintiff’s counsel on March 13, 2026 outlining the deficiencies in the TAC, and that counsel met and conferred via telephone on March 23, 2026 regarding the letter and discussing Plaintiff’s position. (Wan Decl., ¶¶ 4-5, Ex. 1.) The parties agreed to continue Defendants’ response deadline to April 14, 2026 to allow Plaintiff additional time to consider Defendants’ meet and confer letter, but following the telephonic meet and confer, Wan has contacted Plaintiff’s counsel Hanassab on two separate occasions without any response from Plaintiff or his counsel. (Wan Decl., ¶¶ 6-8, Ex. 2.)

The meet and confer requirement is satisfied.

III. Legal Standard

Standard for Demurrer – A party against whom a complaint has been filed may object by demurrer to the pleading on the ground that the pleading does not state facts sufficient to constitute a cause of action. (Code Civ. Proc., § 430.10, subd. (e).) A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations reasonably, liberally, and in context. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.)

As a general matter, in a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (*Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) “A demurrer tests the pleading alone, and not the evidence or facts alleged.” (*E-Fab, Inc. v. Accountants, Inc. Servs.* (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint’s properly pleaded or implied factual allegations. (*Ibid.*) Courts must “treat the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law.” (*Blank*, supra, 39 Cal.3d at 318.) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (*Hahn*, supra, 147 Cal.App.4th at 747.)

Where a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (*Id.*; *Lewis v. YouTube, LLC* (2015) 244 Cal.App.4th 118, 126.) The threshold for meeting this burden is low, and “[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend.” (*Youngman v. Nevada Irrigation Dist.* (1969) 70 Cal.2d 240, 245).

Standard for Motion to Strike – A motion to strike lies where either (1) there is “irrelevant, false or improper matter inserted in any pleading,” or (2) where a pleading or part thereof is “not drawn or filed in conformity with the laws of this state, a court rule or order of court.” (Code Civ. Proc., § 436.) The Court has the authority to strike out any part of a pleading not filed in conformity with an order of the court. (See *Ibid*; *Ferraro v. Camarlinghi* (2008) 161 Cal.App.4th 509, 528.)

When the pleadings are defective, “the defect may be raised by demurrer or motion to strike, or by motion for judgment on the pleadings.” (*Coyne v. Krempels* (1950) 36 Cal.2d 257, 262.) The grounds for a motion to strike shall appear on the face of the challenged pleading or form any matter of which the court is required to take judicial notice. (Code Civ. Proc., § 437, subd. (a).) A matter to be judicially noticed shall be specified in the notice of motion. (Code Civ. Proc., § 437, subd. (b).) The court then may strike out any irrelevant, false, or improper matter inserted in any pleading and strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. (Code Civ. Proc., § 436.) When the defect which justifies striking a complaint is capable of cure, the court should allow leave to amend. (*Perlman v. Municipal Court* (1979) 99 Cal.App.3d 568, 575.)

IV. Discussion

Application – Defendants demurrer to the TAC as to the second, fifth, seventh, and tenth causes of action pursuant to California Code of Civil Procedure, section 430.10, subdivision (e), on the grounds that each fails to state facts sufficient to constitute a cause of action against one or more Defendant. (Demurrer, p. 2:7-17.) Defendants also move to strike punitive damages from the TAC as to Yu and Grand. (Motion, p. 3:24-25.)

a. Second Cause of Action – Age Discrimination in Violation of FEHA (Gov. Code, § 12940(a))

Defendants demur to the second cause of action on the grounds that it fails to state facts sufficient to constitute a cause of action against Hong because the factual allegations within the TAC are insufficient to establish that age substantially motivated the challenged adverse action. (Demurrer, p. 3:6-8, 7:1-3.)

In opposition, Plaintiff argues that Defendants are statutorily barred from demurring to the second cause of action pursuant to California Code of Civil Procedure, section 430.41, subdivision (b) because they failed to demur to this cause of action in their previous demurrer to the SAC. (Opp., p. 4:6-12.)

On reply, Defendants argue that Section 430.41, subdivision (b) limits a renewed demurrer after the court sustains a demurrer to an entire pleading and the plaintiff amends in response, which did not occur as to either challenged claim as

Defendants did not previously demur to the second cause of action. (Reply, p. 2:26-28.) Defendants further argue that Section 430.41, subdivision (f) expressly preserves Defendants' rights under Section 430.80, including an objection that a pleading fails to state facts sufficient to constitute a cause of action. (Reply, p. 3:9-12.)

California Code of Civil Procedure section 430.41, subdivision (b) states: "A party demurring to a pleading that has been amended after a demurrer to an earlier version of the pleading was sustained shall not demur to any portion of the amended complaint, cross-complaint, or answer on grounds that could have been raised by demurrer to the earlier version of the complaint, cross-complaint, or answer." (Emphasis added.)

The Court disagrees with Defendants' arguments that Section 430.41(b) only applies where a demurrer is brought to a prior version of the complaint as a whole, that it must be sustained in whole rather than in part, or that it must be sustained as to the particular cause of action presently demurred to. Section 430.41(b) contains no such limiting language, as this section only requires that a demurrer to a prior version of the pleading be sustained, not that it be sustained in whole to the entire pleading or sustained to the particular claim on which the defendant files a renewed demurrer. To so read would circumvent the purpose of this statute, which is to prevent piecemeal arguments as to why causes of action should be dismissed.

Here, Defendants demurred to certain causes of action in the SAC. That demurrer was sustained in part. Plaintiff subsequently amended the SAC, but did not amend this cause of action or to any of the facts pertaining to this cause of action in his TAC. The second cause of action in the TAC is, word for word, exactly identical to the second cause of action as asserted in the SAC. (SAC, ¶¶ 49-59; TAC ¶¶ 49-59.) Defendants presently argue that the TAC fails to state any facts alleging that Hong replaced Plaintiff with a significantly younger worker, that any decision-maker made an age-related remark in connection with the termination, or state any comparator facts establishing that Hong treated similarly situated but younger employees more favorably. (Demurrer, p. 6:9-13.) However, no new facts are introduced in the TAC on which Defendants are entitled to a renewed demurrer.

Defendants had every opportunity to demur to the second cause of action in their demurrer to the SAC and they failed to do so. They may not now demurrer on grounds which existed at the time they demurred to the SAC. Therefore, based on a plain reading of the statute, Defendants are procedurally barred from objecting to the second cause of action on demurrer. (See *Apple Inc. v. Superior Court* (2017) 18 Cal.App.5th 222, 249, n. 13.)

Defendants' demurrer to the second cause of action is OVERRULED.

b. Fifth Cause of Action – Whistleblower Retaliation (Cal. Lab. Code, § 6310)

Defendants demur to the fifth cause of action on the grounds that it fails to state facts sufficient to constitute a cause of action against Goldberg, Yu, and Grand.

However, Defendants previously demurred to the fifth cause of action as pled in the SAC, which was overruled as to all Defendants. The fifth cause of action in the TAC is, like the second cause of action, entirely unchanged from the SAC, and no factual allegations have been introduced which may give rise to a renewed demurrer on this cause of action. (SAC, ¶¶ 82-91; TAC, ¶¶ 82-91.) The Court's prior ruling stands.

The demurrer to the fifth cause of action is OVERRULED.

c. Seventh Cause of Action – IIED

Defendants demurrer to the seventh cause of action on the grounds that it fails to state facts sufficient to constitute a cause of action against Yu and Grand.

A cause of action for intentional infliction of emotional distress exists when there is '(1) extreme and outrageous conduct by the defendant with the intention of causing, or reckless disregard of the probability of causing, emotional distress; (2) the plaintiff's suffering severe or extreme emotional distress; and (3) actual and proximate causation of the emotional distress by the defendant's outrageous conduct.' A defendant's conduct is 'outrageous' when it is so 'extreme as to exceed all bounds of that usually tolerated in a civilized community.' And the defendant's conduct must be 'intended to inflict injury or engaged in with the realization that injury will result.'" (Hughes v. Pair (2009) 46 Cal.4th 1035, 1050-1051.)

Whether a defendant's particular conduct rises to such level sufficient to make a claim for

IIED is a fact-intensive issue. (Alcorn v. Anbro Eng'g, Inc. (1970) 2 Cal. 3d 493, 499

["Where reasonable men may differ, it is for the jury, subject to the control of the court, to determine whether, in the particular case, the conduct has been sufficiently extreme and

outrageous to result in liability"); Smith v. BP Lubricants USA Inc. (2021) 64 Cal. App. 5th 138, 148, [holding "whether conduct is outrageous is usually a question of fact"] (internal quotations and citations omitted); Trerice v. Blue Cross of California (1989) 209 Cal. App. 3d 878, 883 [holding "the outrageousness of a defendant's conduct normally presents an issue of fact to be determined by the trier of fact"]].

Defendants demur to the IIED cause of action for failure to state facts as to Yu or Grand's extreme or outrageous conduct and intent. (Demurrer, p. 9:4-5.) Specifically, Defendants argue that the TAC fails to allege facts showing that Yu or Grand acted within intent or knowledge that the conduct would cause emotional distress, and contend, relying on Janken v. GM Hughes Electronics (1996) 46 Cal.App.4th 55, that personnel management activity in an employment setting does not support an IIED claim, even if the plaintiff alleges management activity was taken upon improper motive. (Demurrer, p. 8:20-23.)

In opposition, Plaintiff asserts that the Court has already determined that the same course of conduct is sufficient to establish IIED as to Hong and Goldberg, and that he has remedied the defects raised by the Court in its order sustaining the demurrer to the SAC, being that insufficient facts were alleged as to their individual liability. (Opp., p. 6:17-20, 7:12-15.)

The TAC alleges the following relevant facts, which remain unchanged from the SAC:

1. Plaintiff was a dedicated and honest employee.
2. Defendants ruthlessly retaliated against Plaintiff once he reported harassment and dangerous business practices.
3. Plaintiff was consistently harassed at work, and when he reported the harassment, nothing was done and he was still required to work with his harasser.
4. Not only was Plaintiff distressed when he noticed other employees and managers engaging in unlawful and dangerous business practices, but he also was regularly pressured to do the same.
5. Each time Plaintiff reported unlawful and dangerous activities to his supervisors, Defendants ignored Plaintiff and subsequently retaliated against him.
6. Defendants suddenly required Plaintiff to work all holidays and made other changes to the conditions of Plaintiff's employment that harmed Plaintiff.
7. Defendants abused Plaintiff until they terminated him for pretextual reasons.
8. Defendants denied Plaintiff equal terms, conditions, and/or privileges of employment enjoyed by other employees and failed to remedy or prevent harassment and retaliation.
9. Defendants' illegal conduct, including the harassment and retaliation against Plaintiff, in whole or in part, on the basis of Plaintiff's complaints of in a harassment, and/or his complaints of unlawful business practices, constitutes "severe and outrageous" misconduct and exceeds all bounds of conduct usually tolerated in a decent and civilized society.
10. Defendants' conduct was so extreme so as to exceed all bounds of that usually tolerated decent and civilized society.
11. Defendants' conduct was intentional in nature, and/or done with reckless disregard of the probability that Plaintiff would suffer severe emotional distress.
12. Defendants' conduct was a substantial factor in causing Plaintiff's severe emotional distress.
13. Defendants' conduct was a substantial, direct, and proximate factor in causing Plaintiff's harm.

(TAC, ¶¶ 102-04, 107-09.)

The TAC has been amended to include additional factual allegations as to Grand, now alleging the following facts:

1. Grand, as Plaintiff's direct manager, had supervisory authority over Plaintiff's working conditions, schedule, and daily assignments.
2. Grand received Plaintiff's September 2022 report of age-based harassment but took no corrective action.

3. When Plaintiff confronted Grand about why he was still working with his harasser, Grand stated “it was the easier thing to do,” consciously choosing his own convenience over Plaintiff’s safety and wellbeing.
4. Grand participated in or facilitated the retaliatory schedule changes that required Plaintiff to work every holiday and altered his trailer assignments—changes not imposed on other drivers.
5. Grand knew these changes were retaliatory and intended to punish Plaintiff for his protected complaints.
6. Grand’s conduct was extreme and outrageous because he used his supervisory authority to perpetuate a hostile work environment, deliberately choosing to keep Plaintiff working with his harasser out of convenience, and personally implementing retaliatory adverse employment actions against a longtime exemplary employee.
7. Defendant Grand, as Plaintiff’s direct manager, exercised substantial discretionary authority over Plaintiff’s working conditions, schedule, and daily assignments.

(TAC, ¶¶ 105, 112.)

The TAC has also been amended to include additional factual allegations as to Yu, now alleging the following facts:

1. Defendant Yu, as the Human Resources representative, had authority over personnel decisions, including the investigation and resolution of harassment complaints and the authority to terminate employees.
2. Yu received Plaintiff’s September 2022 report of age-based harassment but failed to conduct any meaningful investigation, failed to take corrective action, and failed to implement any measures to protect Plaintiff from ongoing harassment and retaliation.
3. Yu personally effectuated Plaintiff’s termination on January 23, 2023, informing Plaintiff he was being terminated because he was “not a good fit”—a reason Yu knew to be pretextual given Plaintiff’s exemplary performance record of nearly five years with no reprimands, no write-ups, and multiple raises.
4. Yu’s conduct was extreme and outrageous because he weaponized the HR function to punish rather than protect Plaintiff, deliberately fabricated a pretextual basis for termination, and personally carried out the wrongful termination of a veteran employee in retaliation for Plaintiff’s protected complaints of harassment and illegal business practices.
5. Defendant Yu, as Human Resources representative, exercised substantial discretionary authority over personnel decisions, including the investigation of harassment complaints and the termination of employees, and personally effectuated Plaintiff’s pretextual termination.

(TAC, ¶¶ 106, 112.)

Finally, the TAC alleges the following:

1. Goldberg, Grand, and Yu each made substantial discretionary decisions that determined corporate policy with respect to Plaintiff’s employment, his complaints, and his termination.

2. These acts were done with malice, fraud, oppression, and in reckless disregard of Plaintiff's rights, including that Defendants asserted false (pretextual) grounds for terminating Plaintiff's employment, knowingly pressured Plaintiff to engage in dangerous and illegal practices, deliberately ignored his complaints of harassment and retaliation, and intentionally perpetuated a hostile work environment.

3. Such acts were despicable in character and warrant the imposition of punitive damages against each Defendant within the meaning of California Civil Code section 3294 and in a sum sufficient to punish and deter Defendants' future conduct.

(TAC, ¶ 112.)

The Court finds these additionally pled facts sufficient to state a cause of action at the pleadings stage. These additional facts speaking to Grand and Yu's individual, affirmative, and intentional wrongdoings remedy the Court's prior finding that there were insufficient facts alleged to establish their individual liability.

Defendants are correct that mere management of personnel "is not outrageous conduct beyond the bounds of human decency, but is conduct essential to the welfare and prosperity of society," and "pleading of personnel management activity is insufficient to support a claim of intentional infliction of emotional distress, even if improper motivation is alleged." (Janken v. GM Hughes Electronics (1996) 46 Cal.App.4th 55, 80.) However, a plaintiff "may pursue a claim for intentional infliction of emotional distress in the employment context where the conduct at issue violates FEHA and also satisfies the elements of the claim." (Light v. Light v. Department of Parks & Recreation (2017) 14 Cal.App.5th 75, 101.) While there are limitations as discussed in Jaken, a jury may still find extreme and outrageous conduct where a plaintiff alleges facts beyond mere improperly motivated termination and retaliation within the scope of employment. (Jaken, supra, 46 Cal.App.4th at 80.)

Here, Plaintiff alleges not only that the conduct giving rise to the IIED claim violates FEHA, but also that the conduct extended beyond the bounds of mere failure to listen to his complaints or encouragement of retaliation, but that Yu and Grand both intentionally and actively participated in this conduct, including engagement and pressure to participate in illegal business practices, intentionally assigning illegal work to Plaintiff in retaliation, age discrimination, constructing a pretextual basis on which to fire Plaintiff, and terminating his employment.

Therefore, given their supervisory positions and the allegations of affirmative, individual conduct, the Court cannot find as a matter of law at this stage that Plaintiff has failed to state a cause of action for IIED against Yu and Grand. Therefore, the demurrer to the seventh cause of action is OVERRULED.

d. Tenth Cause of Action – Intentional Interference with Prospective Economic Advantage

Defendants demur to the tenth cause of action on the grounds that it fails to state facts sufficient to constitute a cause of action against all Defendants.

The elements of a claim for intentional interference with prospective economic advantage include "(1) an economic relationship between the plaintiff and some third party, with the probability of future economic benefit to the plaintiff; (2) the defendant's knowledge of the relationship; (3) intentional [or negligent] acts on the part of the defendant designed to disrupt the relationship; (4) actual disruption of the relationship; and (5) economic harm to the plaintiff proximately caused by the acts of the defendant." (Crown Imports, LLC v. Superior Court (2014) 223 Cal.App.4th 1395, 1404 (internal citations omitted).) Further, "the alleged interference must have been wrongful by some measure beyond the fact of the interference itself. For an act to be sufficiently independently wrongful, it must be unlawful, that is, it is proscribed by some constitutional, statutory, regulatory, common law, or other determinable legal standard." (Ibid.)

Defendants argue that the TAC fails as to Hong, Yu, and Grand on the grounds that the alleged statements are only attributed to Goldberg, and fails as to Goldberg because the TAC does not allege any facts that the statements made by Goldberg caused Pacific Tank Line (PTL) to rescind the offer or refuse to hire Plaintiff because of the statements or any other

fact showing the relationship between Plaintiff and PTL was disrupted or ended. (Demurrer, p. 9:25-26, 10:5-9.) Defendants further contend that the TAC does not adequately plead defamation as a separate wrongful act. (Demurrer, p. 10:12-13.)

Plaintiff argues that in previously sustaining the demurrer to the tenth cause of action as pled in the TAC, the Court identified only one issue, which was that the SAC lacked specificity as to what statements were made and in what manner they were untrue, which Plaintiff has now cured in the TAC. (Opp., p. 8:7-9.) Plaintiff also argues that he has sufficiently pled independent wrongful conduct supporting this cause of action because the TAC asserts that (1) statements by a former employer to a prospective employer that impute legal disqualification from employment directly injure the former employee and support defamation and interference claims, and (2) Goldberg's alleged conduct violates Labor Code section 1050, which makes it a misdemeanor for any person, after an employee has left employment, to make any misrepresentation that prevents or attempts to prevent the former employee from obtaining employment. (Opp., p. 8:20-22, 9:3-6.) Finally, Plaintiff argues that the claim is properly pled against Hong as well, as the TAC alleges agency, ratification, and course-and-scope relationships among all Defendants, and Goldberg's statements arose from his role as manager and the relationship between the two companies. (Opp., p. 9:24-10:2.)

The TAC alleges the following relevant facts:

1. An economic relationship existed between Plaintiff and PTL, a third party. Plaintiff sought employment from PTL and received an offer for employment.
2. The economic relationship between Plaintiff and PTL carried a probability of an economic benefit to Plaintiff in that Plaintiff was likely to become employed by PTL following his termination from Defendant.
3. Defendants had knowledge of the economic relationship between Plaintiff and PTL. Hong and PTL operate out of the same or adjacent premises. Plaintiff is informed and believes that Defendants became aware of Plaintiff's pursuit of employment with PTL due to relationships between Goldberg and PTL personnel.
4. Defendants engaged in independently wrongful conduct by intentionally spreading false and/or misleading information to PTL so that Plaintiff would not get hired.
5. Defendants knew that interference with the relationship between Plaintiff and PTL was certain or substantially certain to occur as a result of Defendant's wrongful conduct.
6. After learning of Plaintiff's job offer, Defendant Goldberg intentionally contacted personnel at PTL and made false statements concerning Plaintiff, including but not limited to statements that: (a) Plaintiff was subject to legal or contractual restrictions prohibiting his employment with Pacific Tank Lines; (b) Plaintiff could not lawfully be hired due to alleged contractual obligations to Conico; and (c) Pacific Tank Lines would face legal consequences if it hired Plaintiff.
7. Plaintiff was not subject to any enforceable non-compete agreement, non-solicitation restriction, or other legal prohibition preventing his employment with PTL.
8. Defendants knew these statements were false at the time they were made, or made them with reckless disregard for their truth.
9. Defendants made these false statements with the intent to prevent Plaintiff from obtaining employment and to blacklist Plaintiff within the industry, constituting defamation and an independently wrongful act proscribed by law.

10. As a direct and proximate result of Defendants' interference, Plaintiff has suffered and continues to suffer harm, including lost past and future income and employment benefits, damages to his career, and lost wages, unpaid expenses, and penalties, as well as interest on unpaid wages at the legal rate from and after each payday on which those wages should have been paid, in a sum to be proven at trial.

11. As a direct and proximate result of Defendant's interference, Plaintiff has suffered and will suffer non-economic damages for loss of sleep, irritability, humiliation, loss of reputation, and mental and emotional distress, in an amount according to proof at the time of trial.

12. The above-described actions were perpetrated and/or ratified by managing agents, officers or directors of Defendants and were done with malice, fraud, oppression, and in reckless disregard of Plaintiff's rights, including that Defendant maliciously prevented Plaintiff from obtaining other employment after wrongfully terminating him.

13. Such acts were despicable in character and warrant the imposition of punitive damages within the meaning of California Civil Code section 3294 and in a sum sufficient to punish and deter Defendant's future conduct.

(TAC, ¶¶ 126-33.)

Plaintiff has sufficiently pled as to all Defendants that there was an economic relationship between himself and PTL, and that Defendants knew of the relationship and the probability of Plaintiff's future economic benefit arising from a potential employment opportunity. (TAC, ¶¶ 127-30.) However, as to Yu and Grand, Plaintiff has failed to plead sufficient facts as to how they were responsible for or ratified the statements made by Goldberg, that they independently made any similar statements or took any affirmative acts designed to disrupt the potential employment relationship, or the actual disruption of the relationship.

The TAC has sufficiently alleged that Goldberg made statements could subject him to liability under the cause of action. The TAC further alleges that, as a direct and proximate result of this interference, Plaintiff suffered lost past and future income, employment benefits, and damage to his career (TAC ¶ 131). Read liberally, the TAC alleges that Plaintiff did not obtain the PTL position because of Goldberg's statements. Any inference is drawn in Plaintiff's favor. (Code Civ. Proc. § 452; Del E. Webb, supra, 123 Cal.App.3d at 604.) As to Hong, the TAC alleges facts that Goldberg was acting within the course and scope of his employment with Hong when he made the statements. TAC ¶¶ 129-130.)

Accordingly, Defendants' demurrer to the tenth cause of action is SUSTAINED as to Yu and Grand, and OVERRULED as to Goldberg and Hong.

e. Motion to Strike

Yu and Grand move to strike paragraphs 33-36, 91, 112, 133, and the prayer for relief for exemplary and punitive damages on the grounds that the TAC does not plead ultimate facts sufficient to support punitive damages against Yu or Grand. (Motion, p. 2:1-3:25.)

"In order to survive a motion to strike an allegation of punitive damages, the ultimate facts showing an entitlement to such relief must be pled by a plaintiff. [Citations.] In passing on the correctness of a ruling on a motion to strike, judges read allegations of a pleading subject to a motion to strike as a whole, all parts in their context, and assume their truth. [Citations.]" (Clauson v. Superior Court, 67 Cal. App. 4th 1253, 1255.)

As discussed above as to Plaintiff's seventh cause of action for IIED, the Court finds that Plaintiff has pled ultimate facts sufficient to establish that Yu and Grand personally engaged in conduct constituting malice, oppression, or fraud, warranting punitive damages and had supervisory authority over the allegedly wrongful acts. (TAC, ¶¶ 105-06, 112.)

Accordingly, Yu and Grand's motion to strike punitive damages is DENIED.

f. Leave to Amend

Leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976), 18 Cal.3d 335, 348.) While under California law leave to amend is liberally granted, "leave to amend should not be granted where, in probability, amendment would be futile." (Vaillette v. Fireman's Fund Ins. Co. (1993), all 18 Cal. App. 4th 680, 685). "A trial court does not abuse its discretion when it sustains a demurrer without leave to amend if either (a) the facts and the nature of the claims are clear and no liability exists, or (b) it is probable from the nature of the defects and previous unsuccessful attempts to plead that the plaintiff cannot state a claim." (Cantu v. Resolution Trust Corp. (1992) 4 Cal.App.4th 857, 889.)

The liberal policy favoring amendments is not without limitation. In response to a demurrer and prior to the case being at issue, a complaint "shall not be amended more than three times, absent an offer to the trial court as to such additional facts to be pleaded that there is a reasonable possibility the defect can be cured to state a cause of action." (Code Civ. Proc., § 430.41, subd. (e)(1).) However, the "three-amendment limit shall not include an amendment made without leave of the court pursuant to Section 472, provided the amendment is made before a demurrer to the original complaint or cross-complaint is filed." (Ibid.) California Code of Civil Procedure section 472, subdivision (a) states that "[a] party may amend its pleading once without leave of the court at any time before the answer, demurrer, or motion to strike is filed, or after a demurrer or motion to strike is filed but before the demurrer or motion to strike is heard if the amended pleading is filed and served no later than the date for filing an opposition to the demurrer or motion to strike."

Here, Plaintiff has been granted leave to amend twice, and thus has not surpassed the three-amendment limit requiring a showing to the Court. However, the only portion of the demurrer that is sustained is as to Yu and Grand on the Tenth Cause of Action. Plaintiff's Opposition does not mention Yu or Grand in its argument on the Tenth Cause of Action, and does not represent that there are additional facts that could be alleged as to Yu or Grand. For these reasons, the Court is inclined to deny leave to amend as to the Tenth Cause of Action.

V. Conclusion

Defendants Hong Holdings, LLC dba Conico Wholesale, LLC, Mike Goldberg, John Yu, and Larry Grand's Demurrer to the tenth cause of action is SUSTAINED as to Yu and Grand, and OVERRULED as to Hong and Goldberg.

Defendants' Demurrer to the second, fifth, and seventh causes of action is OVERRULED.

Defendants Hong Holdings, LLC dba Conico Wholesale, LLC, Mike Goldberg, John Yu, and Larry Grand's Motion to Strike is DENIED.